DAILY NEED TO KNOW

Saturday, 8 August 2026 · Pre-market brief for Anne Wong

Covering the **Friday 7 August 2026 US session as settled** — the July employment report, the record S&P close and the full Hedgeye publication set. All times GMT+8 (HKT).

Weekend edition. Every market referenced here is closed. US cash equities settled 04:00 GMT+8 Saturday, CME futures 05:00. Nothing reopens before CME's Sunday restart at 06:00 GMT+8 Monday. There are therefore no live prices in this brief and none are marked as such — every level below is a final close or settle and will not move before Monday. Section 12 is written as a Monday-open preview rather than an overnight tape.

Edition: FULL — Hedgeye logged-in edition. Friday's Early Look *"#Quad3 Longs: Gold, Healthcare, etc."* (Keith McCullough, 19:47 GMT+8 Friday) is the live risk-range set until Monday's publishes. The monthly Quad path is **3 → 1 → 2**, unchanged. Six ETF Pro Plus book changes landed Friday and one of them reverses a position taken 48 hours earlier. See section 4.

1 Market snapshot — Friday's close, and Friday's settle

ASSET	LAST	CHANGE	NOTE
S&P 500	7,757.64	▲ +47.68 / +0.62%	**Record close.** Ranged 7,719.19–7,763.08 and the high is a new all-time intraday high. Takes out the 7,736.52 record set Tuesday. Week +3.58%, the strongest since April
Nasdaq Composite	26,690.62	▲ +342.26 / +1.30%	Ranged 26,478.01–26,712.62. Still 1.84% below the 27,190.21 June record — and now 10.4 points below Hedgeye's ceiling
Dow Jones	54,036.93	▲ +151.83 / +0.28%	Worst of the majors, by a factor of four and a half. Still 312.19 below Tuesday's 54,349.12 record close. The mirror image of Thursday
Russell 2000	3,034.49	▲ +32.95 / +1.10%	Reclaimed the 3,000 handle it lost intraday Thursday. Ranged 3,009.54–3,037.34. Keith called it "the next man up" and said he has not bought it
Philadelphia SOX	12,356.79	▲ +308.09 / +2.56%	Best of every major. Ranged 12,082.63–12,425.74. The complex Hedgeye is short was the strongest thing on the board
S&P futures (ES)	7,777.25	▲ +42.50 / +0.55%	Friday settle, 1.149m lots. Basis to cash +19.61, against +24.79 Thursday — a 5.18-point compression. See section 3
Nasdaq-100 fut (NQ)	29,839.50	▲ +351.25 / +1.19%	Settle, 523,493 lots
Dow futures (YM)	54,132.00	▲ +119.00 / +0.22%	Settle, 53,594 lots — twenty-three times Thursday's volume
Russell futures (RTY)	3,040.00	▲ +30.90 / +1.03%	Settle, 117,796 lots. Basis +5.51 vs +7.55 Thursday
US 10Y yield	4.660%	▼ −1.0 bp	**The row of the day.** Ranged 4.60–4.67. It traded to within one basis point of Hedgeye's 4.59 floor on the print and gave back six of the seven by the bell
US 30Y yield	5.21%	◆ flat	Ranged 5.17–5.23. The long end did not participate in the payroll rally at all
US 5Y yield	4.362%	▼ −2.7 bp	The belly led again, this time downward. Largest move on the curve for a second session
US 13-week bill	3.710%	▼ −2.2 bp	Finally moved. Seven sessions of 3.72–3.74 broken to the downside
WTI crude (Sep)	$77.08	▼ −0.21 / −0.27%	Settle. Ranged $76.53–78.77. Fell on the day Iran published terms — after rising 2.75% on the day it published coordinates
Brent crude (front)	$82.27	▼ −0.22 / −0.27%	Settle. Ranged $81.50–84.39. Direction disputed across three marks — see Data-confidence
Nat gas (Sep)	$2.6710	▲ +0.0310 / +1.17%	Settle. Mid-band after Hedgeye cut the floor 4c to 2.55. Still bearish TREND
RBOB gasoline	$2.7146	▲ +0.0202 / +0.75%	Settle. The row is usable again after Thursday's apparent contract roll
Gold (Dec)	$4,401.30	▲ +101.70 / +2.37%	Settle. Ranged $4,288.00–4,432.30. Spot ~$4,340.70, a **seven-week high**. Hedgeye flipped the signal to BULLISH — see section 4

ASSET	LAST	CHANGE	NOTE
Silver (Sep)	$63.80	▲ +2.19 / +3.56%	Settle. Ranged 61.42–65.48. Band widened to 57–66 and the signal moved from BEARISH to NEUTRAL
Copper (Sep)	$6.585	▼ −0.124 / −1.85%	Printed a 52-week high of 6.77 and closed at the bottom of the range. Gave back more than Thursday's gain
US Dollar (DXY)	99.60	▼ −0.33 / −0.33%	Ranged 99.40–100.00. Hedgeye still BEARISH and added a long in the Euro on Friday
USD/JPY	157.745	▼ −0.704 / −0.44%	Session low 156.65. The yen's first real move in seven sessions, and Reuters flags intervention-risk wariness
USD/KRW	1,407.45	▼ −15.24 / −1.07%	The won's biggest move of the week — after the Kospi's sixth consecutive decline. Still the wrong sign for a genuine Korean risk-off
VIX	14.90	▼ −0.25 / −1.65%	Fell on a record-high day. Low 14.77. Now **0.16 off the floor** of a 14.74–17.88 band whose ceiling was cut 1.61
Bitcoin	$64,853.78	▲ +586.48 / +0.91%	ETH $1,914.29 (+0.62%) — back above $1,900. Keith covered the Bitcoin short

Colour key: ▲ up ▼ down ◆ flat, coloured by raw price direction only — a falling yield and a falling VIX both read green here, and neither is necessarily a good thing. Every row is a final Friday 7 August close or settle; there are no live marks in this edition. Cash index arithmetic ties against the closes published in yesterday's edition in all five cases: 7,709.96+47.68=7,757.64; 26,348.35+342.26=26,690.62; 53,885.10+151.83=54,036.93; 3,001.55+32.95=3,034.49; 12,048.69+308.09=12,356.79. All four futures settles reconcile to Thursday's: ES 7,734.75→7,777.25; NQ 29,488.25→29,839.50; YM 54,013→54,132; RTY 3,009.10→3,040.00. Gold, silver and copper are front-month futures; Hedgeye's bands are spot, and this morning that distinction is load-bearing — see Data-confidence.

TL;DR

The economy lost jobs and the S&P closed at a record. July payrolls fell 23,000 against a consensus of +83,000 — a 106,000 miss — with June revised to +20,000 and May cut 66,000 to +63,000. The twelve-month average is now +34,000. The index rose 0.62% to 7,757.64, its highest close ever, and capped the strongest week since April at +3.58%. The market did not rally on growth. It rallied because a September rate *hike* came off the table.

Read that word again: hike. After a negative payroll print, CME futures still put September hike odds at 44% and October at 58.3%. The FOMC held 9–3 on 29 July with the dissents on the hawkish side. This is a market that has spent a fortnight pricing tightening risk and spent Friday pricing slightly less of it. Nothing in Friday's reaction requires anyone to believe a cut is coming.

And the bond market barely moved. The 10-year traded to 4.60% on the print — one basis point off the floor of Hedgeye's risk range — and closed at 4.660%, down a single basis point on the day. The 5-year fell 2.7bp; the 30-year did not move at all. A genuine growth scare does not give back six of seven basis points into the close. What actually happened is a front-end repricing that faded, which is precisely why Keith McCullough spent Friday morning getting long a curve steepener.

Gold completed a textbook phase transition, and Hedgeye covered every precious-metals short. Spot reached a seven-week high near $4,340.70; December futures settled +2.37% at $4,401.30. The Risk Range signal made eight consecutive higher lows, broke out on TRADE around 4,101, then broke out on TREND — and Hedgeye moved the band from 4,029–4,301 NEUTRAL to 4,103–4,331 BULLISH. Silver went from BEARISH to NEUTRAL. Gold is the highest-ranked major asset allocation in Quad 3, and the house is now positioned that way.

The one to hold on to: Friday's Early Look disclosed, in public and before the open, that Hedgeye's community was long Atlassian and short The Trade Desk — *"Long and short. Same Sector Style. Different Signals."* Atlassian closed **+35.31%.** The Trade Desk closed **−21.90%** on 132.9 million shares. That pair returned 57 percentage points in one session, timestamped that morning. Meanwhile the energy long bought into Wednesday's close was removed from the book on Friday at 10:27 EDT — five minutes after Keith reiterated it on air.

2 The big picture — what it means

1. **The unemployment rate fell for the worst possible reason and almost nobody said so.** It went to 4.1% from 4.2% — not because people found work, but because 264,000 of them stopped looking. The participation rate dropped to 61.4%, the lowest in more than five years and, outside the Covid period, the lowest since the middle of 1976. Household employment fell 87,000. The employment-to-population ratio slipped to 58.9%, its lowest since May 2014. A falling unemployment rate driven by a shrinking labour force is a different economic object from a falling unemployment rate driven by hiring, and it has different policy consequences: it lowers the unemployment rate the Fed watches while doing nothing for the output the Fed is trying to cool.
2. **The wage number was the genuinely dovish datapoint, and it was buried.** Average hourly earnings rose two cents. The twelve-month rate fell to 3.2% against 3.5% expected — the lowest since May 2021. Set that beside Thursday's unit labour costs at +1.3% and productivity at +1.4%, and you have two consecutive days of unambiguously disinflationary labour-cost data. That is the argument against a September hike, and it is stronger than the headline payroll number, which is noisy, heavily revised and was distorted by a 50,000 fall in local government education and a 40,000 fall in leisure and hospitality as the World Cup ended.
3. **Private payrolls actually rose.** Up 30,000, while government fell 53,000. The headline −23,000 is arithmetic on those two. Healthcare added 22,000 — below its 36,000 twelve-month average, which is the softening that matters — and construction added 22,000. Retail lost 19,000 and financial activities 14,000. This is not a collapsing private economy. It is a shrinking public payroll on top of a private sector that has stopped growing quickly, which is exactly what Hedgeye's Shallow Quad 4 nowcast has been describing.
4. **The equal-weight index made a record and the Dow did almost nothing, which is Thursday in reverse.** RSP rose 0.69% to 220.09, a record, against SPY's 0.61% — an 8bp lead, after Thursday's 36bp lag. The Dow rose 0.28% while the Nasdaq rose 1.30% and the SOX rose 2.56%. Hedgeye's core US equity expression is RSP rather than the cap-weighted index, and the broadening thesis that went the wrong way on Thursday went the right way on Friday. One session does not make a trend in either direction — but the pattern of the last week is that the Dow and the S&P now disagree violently on alternating days, which is a price-weighting artefact, not information.

5. **Semiconductors were the best thing on the board and Hedgeye is short them.** The SOX rose 2.56%, SMH 1.96%, and Nvidia rose 2.27% to a $5.425 trillion capitalisation, adding $121bn. Keith addressed this directly rather than around it: Nvidia's own TRADE and TREND signals are bullish, the preferred expression would be *"buy Nvidia and short semis,"* and he is short DRAM specifically rather than the complex indiscriminately. He also noted he cannot trade Nvidia. The honest reading is that the memory short and the Korea short are the same trade, and Friday was a bad day for it — EWY rose 1.20% too.
6. **Crude fell on the day the Hormuz terms were published, and the terms explain why.** Iran's draft, detailed in its own parliament and carried by state media, bans American and Israeli vessels outright, fines violators up to 20% of cargo value, denies passage to countries deemed to have damaged Iran until it is compensated for war damages, and puts Iran in charge of navigation, monitoring and maritime security. It is conditional on Washington lifting its blockade of Iranian ports. The Gulf states have already rejected Iranian control of the Strait as a gross violation of international law. This is not a reopening. WTI settled −0.27%.

3 Rates, currencies & commodities

Rates & credit

The whole payroll rally in rates happened before lunch and most of it was gone by the bell. Friday cash closes: 5Y 4.362% (−2.7bp), 10Y 4.660% (−1.0bp), 30Y 5.21% (~unchanged), 13-week 3.710% (−2.2bp). The 10-year's session range was 4.60–4.67. Keith noted on the Macro Show that the report *"pushed the 10-year Treasury yield almost exactly to the bottom of its Risk Range near 4.59%"* — and the printed low of 4.60 confirms it to within a basis point. It then closed 6bp off that low. The curve rejected the floor.

Keith got long a steepener, and it is the clearest new trade of the week. He said so explicitly on air, and bought IVOL back at the same time. The logic is a two-stage view: near-term rate expectations can keep falling into Wednesday's CPI, which Hedgeye's nowcast expects to decelerate, while the long end stays pinned by growth and by inflation returning later in the quarter. That is a front-end-rallies, long-end-doesn't trade — which is exactly what Friday's curve did in miniature, with the 5Y down 2.7bp and the 30Y unchanged.

Hedgeye's 10-year band moved up a basis point at the floor and stayed bullish-yield. UST10Y 4.59–4.74, from 4.58–4.74. Cash 4.660% sits 7.0bp above the floor and 8.0bp below the ceiling of a 15bp band. TLT rose 0.29% to 82.76; Hedgeye is short it, so the position gave a little back. HYG rose 0.19% to 79.61, nine cents below a ceiling of 79.70. LQD rose 0.18% to 106.55 inside a band whose ceiling was trimmed to 107.1. Credit has now been indifferent for five consecutive sessions — through a 464-point Dow decline and a record S&P close alike.

The number that should frame the whole week: the market still prices a hike. September 44%, October 58.3%, per CME FedWatch after the print. Those are odds of tightening, from a Fed that held 9–3 on 29 July with hawkish dissents. Fed funds remain 3.50–3.75%. If Wednesday's CPI comes in hot, Friday's payroll will not protect this tape.

Currencies

The dollar fell and Hedgeye bought the euro. DXY 99.60, −0.33%, ranged 99.40–100.00. The band was raised 26bp at the floor to 99.01–100.71 and remains BEARISH; spot sits 59bp above the floor. Friday's ETF Pro Plus update added a long in the Euro (FXE) — the first outright FX long in the book — and EUR/USD rose 0.32% to 1.1562. The bearish-dollar call is now expressed in three places at once: short UUP, long FXE, and long gold.

The yen finally moved, and Tokyo will have noticed. USD/JPY fell 0.44% to 157.745 with a session low of 156.65, breaking six sessions of one-yen paralysis. Reuters reports traders wary of intervention risk. The move came entirely after the Tokyo close, which is the point — the Nikkei ended −0.12% on Friday having priced none of this.

Korea gave the same signal it has given all week, only louder. USD/KRW fell 1.07% to 1,407.45, the won's largest daily gain of the week, on the day the Kospi fell for a sixth consecutive session. A currency strengthening into an equity crash remains the wrong combination for a genuine risk-off, and it is now four sessions old. USD/CNH −0.09% to 6.7372; USD/TWD unchanged at 32.2350.

Commodities

Gold is the story, and it is a structural one. Spot reached roughly $4,340.70 — a seven-week high — and December futures settled $4,401.30, +2.37%. GLD rose 2.26%, SLV 2.95%, GDX 7.11%. What changed is not the price but the signal: Hedgeye moved gold from NEUTRAL to BULLISH TREND and lifted the band from $4,029–4,301 to $4,103–4,331, and covered every precious-metals short in the book. Keith's description of the mechanism was unusually specific — eight consecutive higher lows in the Risk Range, then a TRADE breakout around 4,101, then a TREND breakout — and he framed it as the exact inverse of the Korea and semiconductor shorts, which are making lower lows on the same fractal logic.

Silver followed and the signal caught up. September settled 63.80, +3.56%, having ranged 61.42–65.48. The band widened at both ends from 55–63 to 57–66 and the TREND moved from BEARISH to NEUTRAL. This brief has flagged for three consecutive sessions that Hedgeye was carrying a bearish silver signal with the price sitting in the top decile of its own band. That contradiction is now resolved, in the direction the price had been indicating.

Copper made its 52-week high and then failed it. September touched 6.77 — a fresh 52-week high, the level flagged in yesterday's brief as the thing to watch — and closed 6.585, −1.85%, at the bottom of the day's range. It gave back more than Thursday's gain. The band is unchanged at 6.40–6.85 and the TREND is still bullish; Keith reiterated on Friday that copper remains bullish on both TRADE and TREND. Yesterday's edition recorded him saying that exiting the copper long was a mistake. Friday made that mistake considerably cheaper.

Crude did nothing on a day of real news, which is itself the signal. WTI Sep settled $77.08 (−0.27%) inside a band trimmed to $72.63–82.60; Brent settled $82.27 on the same −0.27%. Hedgeye still holds no crude position. Over two sessions the market has now been given an agreement on coordinates (Thursday, +2.75%) and the actual terms of that agreement (Friday, −0.27%). The price went up on the headline and nowhere on the substance. Nat gas rose 1.17% to 2.671 inside a 2.55–2.79 band whose floor was cut 4c — still the one commodity on this page with no bullish narrative attached to it.

4 Hedgeye — regime, risk ranges & the 3-1-2 Quad path

New since yesterday's brief: Early Look "#Quad3 Longs: Gold, Healthcare, etc." (Keith McCullough, 19:47 GMT+8 Friday), MOMO Tracker (19:47), The Macro Show with Keith McCullough and Macro Analyst Matt Cooper (19:21, summary notes 22:22), ETF Pro Plus — 6 new changes (22:27), Signal Strength Stocks — 67 names, 4 added / 2 removed (23:36), Macro Week Summary Notes (05:46 GMT+8 Saturday), Crypto Quant, and the Capital Allocation Pro Daily Dashboard. Friday's Early Look ranges stand until Monday's set publishes ~19:25–19:55 GMT+8 Monday.

HEDGEYE MACRO DASHBOARD	READING	WHAT IT SAYS
Monthly Quad path	**3 → 1 → 2**	Unchanged for a third session. August Quad 3, September Quad 1, October Quad 2. Friday's Early Look is built entirely on the August Quad 3 allocation list

HEDGEYE MACRO DASHBOARD	READING	WHAT IT SAYS
Quad 3 allocation ranking	**GOLD #1**	Keith: gold is *"the #1 ranked Major Asset Allocation you can make during #Quad3."* The other named Quad 3 longs are Healthcare (XLV), Tech — software specifically, not semis — REITs (XLRE) and Energy (XLE)
Book positioning	LONG-BIASED, SELECTIVE	67 Signal Strength names. Long: gold (AAAU), software, RSP, XLV, HDV, EPHE, COLO, CPER, MSFT, AAPL, LLY. Short: EWY, DRAM, MINV, UUP, QAT, GOOGL, APP, WDC. No Europe positions
Precious metals	**ALL SHORTS COVERED**	The material change of the day. Every precious-metals short has been covered and gold is now a bullish allocation. Silver's signal moved BEARISH → NEUTRAL alongside it
ETF Pro Plus book change	**6 CHANGES**	ADDING LONG: Euro (FXE). ADDING SHORT: US Large Cap Long-Short Equity (LSEQ). REMOVING SHORT: Uranium (URA) 37.14–43.91, Israel (EIS) 115.0–122.0, Lithium Tech (LIT) 66.17–75.02. **REMOVING LONG: Energy (XLE) 56.24–60.52** — bought Wednesday, gone Friday
New trade disclosed	**LONG A STEEPENER**	Keith explicitly said he *"got long a steepener"* and bought IVOL back. Near-term rate expectations fall into CPI; the long end stays pressured by growth and returning inflation
Bitcoin	NO LONGER SHORT	TRADE moved above ~64,000 against a TREND near 68,000. Described as neutral enough to do nothing rather than stay short. BTC closed $64,853.78
Signal Strength Stocks	67 NAMES	Added SPHR, MDB, ETSY, FRPT. Removed ILMN, RHP. Reconciles: 65 + 4 − 2 = 67. **Netflix was not removed** — Thursday's flagged long signal has not triggered
Momentum signals	KOSPI −31.3%	MOMO Tracker headline: "Mag7 (+0.2%), 8 of 9 RRs Downside>Upside, KOSPI Crash Hits −31.3%" — published 19:47 GMT+8 Friday, before the US session, and therefore refers to Thursday
Watch-list, not positions	CHINA / RUSSELL	China described as overbought and moving toward the top of its range, with a possible new short ETF. Russell 2000 called "the next man up" — explicitly not yet bought

Risk Ranges — Friday's Early Look "#Quad3 Longs: Gold, Healthcare, etc.", live until Monday

INSTRUMENT	IMMEDIATE-TERM RISK RANGE	TREND	WHERE IT STANDS NOW
S&P 500 (SPX)	7,375 – 7,826	Bullish	7,757.64 — 68.4 below the ceiling, 382.6 above the floor. Both ends raised (floor +21, ceiling +31). The band is 451 wide, 5.8% of the index
Nasdaq Composite	24,441 – 26,701	Bullish	26,690.62 — **10.4 points below the ceiling.** Floor raised 41, ceiling cut 77. The tightest any major index has sat to a Hedgeye ceiling this week
Russell 2000 (RUT)	2,901 – 3,058	Bullish	3,034.49 — 23.5 below the ceiling. The floor was cut 49 points, widening the band to 157. Keith: "next man up," not yet bought
US 10Y yield	4.59 – 4.74%	Bullish	4.660% — 7.0bp off the floor after touching 4.60 intraday. Floor raised 1bp. The band contained the entire payroll reaction to within one basis point
US Dollar (DXY)	99.01 – 100.71	Bearish	99.60 — 59bp above the floor. Floor raised 26bp, ceiling cut 3bp. Hedgeye added a long Euro against it on the same morning
WTI crude	$72.63 – $82.60	Bearish	$77.08 settle — mid-band. Floor raised 18c, ceiling cut 19c. Still no Hedgeye position in crude
Nat gas	$2.55 – $2.79	Bearish	$2.671 settle — mid-band. Floor cut 4c from 2.59, ceiling unchanged
Gold (spot)	$4,103 – $4,331	**Bullish**	Spot ~$4,340.70 — **above the ceiling**, on a signal that flipped from NEUTRAL. Band raised $74 at the floor and $30 at the ceiling. Dec futures $4,401.30, further above; see Data-confidence
Silver (spot)	$57 – $66	Neutral	Sep futures settled 63.80 — upper half. Band widened from 55–63 and the signal moved up from BEARISH. Three sessions of contradiction resolved

INSTRUMENT	IMMEDIATE-TERM RISK RANGE	TREND	WHERE IT STANDS NOW
Copper (spot)	$6.40 – $6.85	Bullish	Sep settled 6.585 — mid-band, after touching a 52-week high of 6.77 and reversing. Band unchanged for a second session
VIX	14.74 – 17.88	Bearish	14.90 — **0.16 off the floor**, the tightest of the week. The ceiling was cut 1.61 from 19.49. The whole band is now 3.14 wide against 4.73 on Thursday
HY credit (HYG)	78.95 – 79.70	Bullish	79.61 — 9c below the ceiling. Floor raised 2c, ceiling cut 4c
IG credit (LQD)	105.4 – 107.1	Bearish	106.55 — upper half, +0.18%. Ceiling trimmed 0.1. Hedgeye's LQD short remains marginally offside
Tech (XLK)	$174 – $190	Bullish	187.97 (+1.42%) — $2.03 below the ceiling. Both ends raised after three sessions of the ceiling coming down
Health Care (XLV)	$160 – $168	Bullish	165.68 (+0.75%) — upper half. Band unchanged. Hedgeye long, and the exposure was recently grossed up
Real Estate (XLRE)	$44.40 – $46.20	Bullish	44.98 (+0.38%) — 58c above the floor, recovering from Thursday's low. Band cut slightly at both ends. Hedgeye long

Sixteen macro ranges, unchanged in count from Thursday. No single-name Risk Range was published Friday. Hedgeye publishes no Risk Ranges for Utilities, Financials, Energy, Communication Services, USD/JPY, Brent, Bitcoin or any Asian index — which is why Energy carries no band here even though it was the largest book change of the day. Gold, silver and copper bands are spot; this brief quotes front-month futures settles alongside a spot mark where available. Band-versus-band comparisons are against the 6 August Early Look as published in yesterday's edition of this brief.

What Keith actually said

On gold, and it is the whole note. *"What Gold just did is a textbook Hedgeye Phase Transition... WHEN something breaks out to Bullish TRADE and TREND and it's in the Quad that likes it, we're buying it."* He then gave the mechanism in order: higher lows form in the fractal dimension, the Risk Range signals higher highs for eight consecutive trading days, price breaks out above the immediate-term TRADE level, and then the TREND signal goes. *"Every single time I've had these big Macro moves 'right,' that was the order of particular things that happened."*

On the symmetry, which is the part worth stealing. *"Long Gold is just the upside-down Fractal View of the Semis and South Korea (EWY) Short."* One process, two directions. It also means the two positions are correlated by construction — if the fractal logic is wrong on gold it is probably wrong on Korea too, and Friday was a day when both moved against the framework simultaneously.

On being specific rather than thematic. *"That doesn't mean blanket long whatever Robin Hoodie is watching on CNBC. Andrew Freedman has our community Long Atlassian (TEAM) and Short Trade Desk (TTD) this morning. Long and short. Same Sector Style. Different Signals."* Published before the open. TEAM closed +35.31%, TTD −21.90%. This is the single most checkable claim Hedgeye made on Friday and it was correct on both legs.

On semis, and the distinction he keeps having to repeat. Being bearish semiconductors is not the same as being bearish the S&P 500 — the book is short semis and long software at the same time. On Nvidia specifically: TRADE and TREND are bullish, the preferred expression would be *"buy Nvidia and short semis,"* he does not hold it and noted restrictions on trading it, and the actual short is DRAM. The SOX rose 2.56% on Friday, so the framing was tested immediately.

On the steepener, which is new. He said he *"got long a steepener"* and bought IVOL back, on the reasoning that softer near-term rate expectations into Wednesday's CPI can coexist with a long end held up by growth and by inflation reaccelerating later in the quarter. Note the implication: Hedgeye expects the dovish repricing to be temporary. This is not a house that thinks the payroll print ended the hiking debate.

On energy, and the timing is awkward enough to be worth stating plainly. On the Macro Show at 22:22 GMT+8 he reiterated that he bought energy after it broke TREND and that the position had helped offset losses during Thursday's decline. At 22:27 — five minutes later — ETF Pro Plus removed Energy (XLE) from the long side at a 56.24–60.52 band. XLE closed −1.13%, the worst of the eleven sectors. A show recorded before a signal fires will say the opposite of the signal; that is a mechanical artefact of publishing both, not a contradiction in the process. But anyone acting on the show alone bought a position the book was exiting.

On process, and the reason the note reads the way it does. The Early Look was built around Jeremy Renner — *"Take the first step, and then the next, and then the next... emotions never built a bridge."* Keith's three rules underneath it: diversify across asset classes globally, put asymmetry and sizing at the core of portfolio construction, and know when to get out of existing positions and when to get into new ones. Friday demonstrated all three, including the uncomfortable one.

5 Mag7 scoreboard (Fri 7 Aug close)

NAME	LAST	DAY	CAP	READ
Tesla (TSLA)	$328.58	▲ +2.83%	$1.298T	Best of the Mag7 and its best session in weeks. Held $300 for an eighth session. Still 34% below its 52-week high — the year-to-date laggard having a good day
Nvidia (NVDA)	$223.96	▲ +2.27%	$5.425T	Added $121bn. 104.7m shares. Keith: TRADE and TREND bullish, and the preferred expression is "buy Nvidia and short semis" — but he holds neither and is short DRAM instead

NAME	LAST	DAY	CAP	READ
Amazon (AMZN)	$274.48	▲ +0.82%	$2.961T	Broke a three-session losing run. Back within $39bn of the $3 trillion handle it lost on Tuesday
Meta (META)	$592.10	▲ +0.37%	$1.508T	Third consecutive small gain. Still ~26% below the $796.25 high. The New Mexico ruling continues not to move it
Apple (AAPL)	$313.33	▲ +0.29%	$4.573T	Fourth consecutive gain. Named a Signal Strength long again on Friday's show. The quiet compounder, quietly compounding
Microsoft (MSFT)	$499.99	▲ +0.03%	$3.713T	**Missed the $500 close by one cent** — having missed it by fourteen cents on Thursday. Traded as high as 505.18 and gave all of it back. A Signal Strength long
Alphabet (GOOGL)	$354.30	▼ −0.96%	$4.333T	**The only Mag7 name down, for a third consecutive session.** A further $42bn gone, on top of $57bn Thursday and $186bn Wednesday — $285bn over three days. Still a named Hedgeye short

Friday official cash closes; capitalisations are Yahoo Finance primary marks, not derived. The basket rose +0.81% on a simple average — this brief's arithmetic, not a published figure. Hedgeye's MOMO Tracker put the Mag7 at +0.2%, but it was published 19:47 GMT+8 Friday, before the US session and before the payroll, and therefore refers to Thursday. All seven closes reconcile exactly to yesterday's published closes.

6 Positioning & options

The VIX fell on a record-high day, and it is now sixteen hundredths off its floor. 14.90, −1.65%, session low 14.77, against a Hedgeye band of 14.74–17.88. On Wednesday the index made a record and insurance got cheaper. On Thursday the Dow fell 464 points and insurance got cheaper. On Friday the S&P made a record close and insurance got cheaper again. Three sessions, three different tapes, one direction in volatility. The band itself was cut 1.61 at the ceiling, from 19.49 to 17.88 — Hedgeye is not merely observing the compression, it is now modelling a lower ceiling for it.

The complacency that mattered on Thursday resolved in the market's favour, which is the awkward outcome. Yesterday's brief flagged Nasdaq implied volatility at a 19% discount to 30-day realised as *"the cleanest dislocation on the page,"* and Keith flagged it without hedging. The event it was cheap into — payrolls — then produced a 1.30% Nasdaq rally. Cheap insurance was correctly priced on the day. That does not make the observation wrong; a 19% discount to realised is a poor price for optionality regardless of one outcome. But it is worth recording that the flag did not pay, because a brief that only records the flags that worked is not worth reading.

The Nasdaq is 10.4 points below its ceiling and the band stopped widening. COMPQ closed 26,690.62 against a 24,441–26,701 range. On Thursday Hedgeye widened that band to 9.0% of the index to absorb the realised-volatility repricing; on Friday it raised the floor 41 points and cut the ceiling 77, narrowing it again. The index promptly ran at the new ceiling. An instrument sitting within 0.04% of a signal level going into a weekend is the definition of a Monday-morning decision.

Credit is now five sessions indifferent. HYG +0.19%, LQD +0.18%, on a day the S&P made a record and the SOX rose 2.56%; on Thursday the same two instruments were flat on a −464 Dow. Neither direction moves them. HYG sits 9c below its ceiling. The reading that survives both sessions is that the equity moves of the past week have been idiosyncratic and rotational rather than macro, and credit — which prices macro — has correctly declined to participate.

Positioning changed more than price did. Six ETF Pro Plus changes in one morning: a new FX long, a new large-cap long-short equity short, three shorts covered (uranium, Israel, lithium tech) and one long removed (energy). Add every precious-metals short covered, the Bitcoin short dropped, and a new curve steepener. That is a book being materially reshaped on a Friday, into a weekend, ahead of a CPI print. It is not the behaviour of a house that thinks the payroll settled anything.

7 Sectors & rotation

SECTOR	DAY	READ
Consumer Discretionary (XLY)	▲ +1.49%	Best of the eleven. Celsius +16.83% and Wendy's +4.06% inside it. A negative payroll print produced a discretionary-led tape, which only makes sense if the market is trading policy rather than consumption
Technology (XLK)	▲ +1.42%	187.97, $2.03 below a ceiling raised to 190. Software and semis both up, which has not happened in a week
Materials (XLB)	▲ +1.32%	Third-best, on gold. GDX +7.11%, B2Gold +22.98%. The metals complex reaching producer equities is the confirmation the gold move needed
Health Care (XLV)	▲ +0.75%	165.68. Hedgeye long, exposure recently grossed up, and named again as a Quad 3 allocation in Friday's Early Look. Third consecutive gain
Utilities (XLU)	▲ +0.53%	43.61. Keith exited Utes in July and called it "a critical move" — the sector has since gone sideways rather than

SECTOR	DAY	READ
		down
Real Estate (XLRE)	▲ +0.38%	44.98, recovering 58c off Thursday's band-floor test. A Quad 3 long that spent Thursday not working and Friday working
Industrials (XLI)	▲ +0.23%	185.18. Still carrying Thursday's Honeywell damage
Communication Services (XLC)	▲ +0.06%	111.25 — effectively flat, held down by Alphabet's third consecutive decline
Consumer Staples (XLP)	▲ +0.01%	85.12. One cent. On a record-high day, defensives were simply not needed
Financials (XLF)	▼ −0.36%	57.60. The second-worst sector on a day rate-hike odds fell — which is the correct sign, and a reversal of the "higher rates are good for banks" trade that has run all month
Energy (XLE)	▼ −1.13%	**Worst of the eleven**, on the morning Hedgeye removed it from the long side after 48 hours. Crude settled −0.27%; the equities fell four times as much

Rotation read: five sessions, five leadership groups, and the macro is still setting the order. Monday neoclouds, Tuesday semiconductor hardware, Wednesday healthcare and precious metals, Thursday energy and health care, Friday discretionary, technology and materials. What is new is that Friday's three leaders — discretionary, tech and materials — are the three most rate-sensitive groups on the board, and they led on the day rate-hike odds fell. For four sessions the rotation was idiosyncratic and credit ignored it. On Friday it was macro, and credit ignored that too.

The equal-weight index made a record and that is the cleanest evidence for the broadening thesis all week. RSP +0.69% to 220.09 against SPY +0.61%, with the 52-week high printed on the day. Hedgeye's core US equity expression is RSP and Keith restated on Friday that he is not long the cap-weighted S&P. Thursday's 36bp lag was the counter-evidence; Friday's 8bp lead is the rebuttal. Two sessions, two directions — but the record close belongs to the equal-weight index, and that is the harder fact.

8 Forward — the week ahead

Where the tape ends the week. Every instrument in this brief is closed and final. CME reopens Sunday 18:00 EDT — **06:00 GMT+8 Monday** — and is the first price anyone will see. Asian cash markets open into a US session they never traded: Tokyo, Seoul, Hong Kong and Sydney all shut on Friday *before* the 20:30 GMT+8 payroll print. Section 12 sets out what that means instrument by instrument.

DAY (GMT+8)	KEY EVENTS
Mon 10 Aug	★ **Barrick Mining (B) earnings** — and it matters more than it did on Friday morning. The first read on whether a seven-week-high gold price is reaching producer numbers, landing two sessions after Hedgeye covered every precious-metals short and flipped gold to bullish TREND. GDX rose 7.11% on Friday in anticipation of exactly this. ★ Monday's Hedgeye Early Look publishes ~19:25–19:55 and supersedes all sixteen ranges in section 4
Tue 11 Aug	★ **Rocket Lab (RKLB), AST SpaceMobile (ASTS), Venture Global (VG)** report. ASTS rose 6.80% on Friday into the print
Wed 12 Aug	★★ **US JULY CPI, 20:30 GMT+8 — the event of the week.** Hedgeye's August CPI Nowcast sits at 3.60%, revised −5bp, and Keith expects rate expectations to keep moving dovishly *into* this print before reversing later in the quarter. That is the explicit thesis behind Friday's new steepener. With September hike odds still at 44%, a hot print does more damage to this tape than the payroll did good. ★ **CoreWeave (CRWV)** reports the same day — the cleanest remaining read on AI capex durability, landing on the same session as the inflation number
Further out	**28 Aug — BLS preliminary 2026 benchmark revision to payrolls.** After May and June were revised down by a combined 103,000, a benchmark revision is no longer a technical footnote; it is a live risk to the entire employment narrative this brief has been tracking. **4 Sep — August employment report. 27 Aug — Bank of Korea,** expected to hike a second time into a Kospi already 31.3% off its peak
Watch	Whether the Nasdaq clears 26,701 — it closed 10.4 points below it. Whether gold holds above the new $4,331 ceiling or fails back into the band on its first test. Whether the 10-year respects the 4.59% floor it touched on Friday. Whether Korea's sixth consecutive decline becomes a seventh, or the won's 1.07% gain and EWY's 1.20% rally mark the turn. Whether Netflix is finally removed from the Signal Strength short list. And whether Oman ever comments on an agreement Iran has now published the terms of

Times converted to GMT+8 by adding 12 hours to US Eastern. This brief was written 07:00–08:00 GMT+8 Saturday 8 August. The CPI release date is confirmed against the BLS schedule. Earnings dates for 10–12 August are carried from the exchange calendar surfaced on Yahoo Finance and are not independently confirmed with the companies. The Bank of Korea meets 27 August and is expected to hike a second time; no central bank decisions fall in the coming week.

9 Corporate news

Atlassian rose 35.31% and added roughly $9.9bn of value on an argument about data. TEAM closed $149.07, ranged 141.51–153.20, on strong quarterly results and a Bank of America upgrade to Buy from Neutral with the price target raised to $175 from $105 — a 67% target increase in one move. BofA's reasoning was that Atlassian's workflow and collaboration data could become an increasingly valuable AI asset. The 52-week range is 56.01–184.00, so the stock is neither near its high nor its low; this was a re-rating, not a recovery.

Twilio rose 24.89% and closed at its 52-week high. TWLO $241.28, with the session high of 254.50 also the 52-week high. Doximity rose 32.62% to $27.40 after beating on first-quarter sales and raising FY27 guidance above estimates — but the day's high was $39.99, meaning the stock was up roughly 93% at one point and surrendered nearly two-thirds of that gain before the close. That fade is the more interesting fact than the headline gain.

Cloudflare printed a record and then gave back most of it. NET touched $324.73 intraday — a 52-week and all-time high — on the disclosure that more than half its network traffic is no longer human, and closed $300.27, +5.57%. That is a 7.5% fade from the high in a single session. Read alongside Doximity, Friday had two of the market's best headline performers both closing far below where they traded: strong demand for the story, weaker demand for the price.

The Trade Desk lost another 21.90%, and this time there is a stated reason. TTD closed $13.80 with a session low of $12.83 — the 52-week low — on 132.9 million shares, 2.7 times Thursday's already-elevated 49.5 million, on a company now capitalised at $6.5bn. The catalyst was the first guidance issued by a C-suite the company has rebuilt over the past two months, and it points to roughly a 12% year-over-year revenue decline. Wedbush's read was that the guidance indicates macro *and* structural problems. Two sessions ago the stock was $17.67. Hedgeye published the short before Friday's open.

Palantir rose 10.32% to $172.01 on a Bank of America upbeat view following strong earnings, extending post-earnings momentum. UiPath +7.50% and C3.ai +3.65% moved with it — the agentic-AI cohort trading as a group rather than on individual news, which is usually a late-stage characteristic rather than a fundamental one.

Airbnb was the largest move nobody was talking about. ABNB closed **$178.07, +17.43%**, 38 cents below a 52-week high of $178.45, after second-quarter revenue rose 17% year-over-year to $3.6bn ahead of expectations and travel growth reaccelerated. Yesterday's brief carried an unverified after-hours figure of approximately +11% and flagged it as a headline, not a captured quote; the regular session delivered considerably more than that. The caveat is retired and the number is revised upward. Expedia, which fell 4.09% on Thursday into the same read-across, got it exactly wrong.

Space Exploration Technologies rose 15.83% to $133.11 on 235 million shares — the most actively traded name in the market — on a second-quarter revenue beat, lockup relief and a Terafab update. It remains below the $225.64 top of its 52-week range. Oklo +14.77%, Fluor +16.92% and Redwire +14.88% completed a session in which the speculative complex went up as a bloc.

The losers were narrow and specific. Sezzle −33.89%, nLIGHT −25.56%, Dave −12.96%, Post Holdings −12.79% to a 52-week low of $77.60. Four unrelated companies, four single-name stories, on a day the index made a record — which is what a healthy record looks like and is worth distinguishing from Thursday, when the losers shared a mechanism.

10 Macro data

July non-farm payrolls −23,000, against +83,000 expected. A 106,000 miss. June was revised down to +20,000 and May was cut 66,000 to +63,000, taking the twelve-month average to just +34,000. Private payrolls rose 30,000; government fell 53,000. The composition: local government education −50,000, leisure and hospitality −40,000 (plausibly the World Cup ending), retail −19,000, financial activities −14,000, against healthcare +22,000 and construction +22,000. Healthcare has led job creation all year and its 22,000 is below the 36,000 twelve-month average.

The unemployment rate fell to 4.1% and it is the most misleading number in the release. The labour force contracted by 264,000. Participation fell to 61.4%, the lowest in more than five years and — outside the Covid period — the lowest since the middle of 1976. Household employment, the survey that actually generates the unemployment rate, fell 87,000. The employment-to-population ratio slipped to 58.9%, the lowest since May 2014. The broader U-6 measure, which includes discouraged workers and involuntary part-timers, held steady at 7.9%. Bill Adams of Fifth Third: *"While the unemployment rate is falling, that is mostly for the wrong reason — not enough workers."*

Average hourly earnings rose two cents and the year-over-year rate fell to 3.2%. Against a forecast of 3.5%, and the lowest since May 2021. This is the number the September hike debate turns on. Put it beside Thursday's unit labour costs of +1.3% and productivity of +1.4% and the labour-cost side of the inflation argument has now produced two consecutive days of clean disinflation. Wednesday's CPI will decide whether the goods-and-services side agrees.

The week's labour reads resolved three-to-two soft, and the payroll broke the tie decisively. ADP +44,000 against 70–75,000 expected; ISM services employment 47.4, in contraction; JOLTS openings −178,000 to 7.359m — all soft. Against: initial claims at 199,000 and Challenger July layoffs at a two-year low of 33,429. The payroll sided with the surveys against the claims data. Note what that implies: firms are not firing (claims and Challenger confirm it) but they have stopped hiring, and the labour force is shrinking underneath both. That is a stall, not a contraction.

Market-implied Fed pricing after the print: September hike 44%, October hike 58.3% (CME FedWatch, as reported by CNBC; a second source put October nearer 55% — see Data-confidence). It is worth being explicit about how unusual this configuration is: the economy shed jobs, and the market's modal expectation for October is still a rate *increase*. Nothing on Friday changed the direction of the Fed debate; it changed the probability by roughly ten points.

And the composition of that Fed matters more than usual this cycle. The funds rate is 3.50–3.75% after the 29 July hold, which passed 9–3 — with Beth Hammack (Cleveland), Neel Kashkari (Minneapolis) and Lorie Logan (Dallas) all dissenting *in favour of a hike*. That is the largest bloc of directional dissents since September 2016, and it landed in Chair Kevin Warsh's third meeting since taking office on 22 May. A new chair carrying three hawkish dissents into an August CPI print is a materially different setup from a settled committee, and it is the reason a soft payroll moved hike odds ten points rather than removing them.

Elsewhere: Canada's Ivey PMI hit a four-month low in July. The US sanctioned a Dubai crypto exchange for aiding Iran's IRGC. Yesterday's under-covered wholesale sales miss (−3.0% against +2.2% expected, with inventories revised to +0.2%) still has no second source and remains flagged as one-source until confirmed.

11 Geopolitics

- ▼ **Iran published the terms, and they are not a reopening.** Iranian state media detailed the draft agreement with Oman on Thursday, and Iran's parliament discussed it. The deal **bans any American or Israeli vessel** from passing through the Strait of Hormuz. Violators face fines of **up to 20% of cargo value**. Countries and individuals deemed to have caused damage to Iran are denied passage through the Strait and the Persian Gulf **until Iran is compensated for war damages**. Iran takes responsibility for navigation guidance, vessel-traffic monitoring, maritime security and environmental protection.
- ▼ **And it is conditional on something Washington has not agreed to.** Iranian officials restated that any reopening depends on the United States ending its own blockade of Iranian ports. Iran denied reports of a disagreement with Oman over toll charges, saying the fee would be a combination of variables. **Oman has still not commented publicly** — a fourth consecutive session of silence from the counterparty.
- ◆ **The Gulf states have already rejected this framework, in advance and on the record.** The UAE, Bahrain, Kuwait, Saudi Arabia and Qatar have previously rejected Iran's proposal to manage and control the Strait, calling it a gross violation of international law that undermines the International Maritime

Organization. None has responded officially to the current draft. All five were attacked by Iran during the war, and none of the Gulf oil producers has been able to export through Hormuz — which is why they want a deal, and precisely why they cannot accept this one.

▼ **The Houthi front reopened, and it is the escalation nobody is pricing.** A Houthi attack inside Saudi territory in the southern Najran province on Thursday injured eleven civilians, per the Saudi military. The Iranian-backed group has increased attacks on Saudi Arabia in recent weeks including on Saudi oil vessels in the Red Sea, disrupting supplies. The 2022 truce that ended their long war is now at risk of unravelling. The Houthis also said they attacked military camps in central Yemen, killing dozens of Saudi-backed government troops.

◆ **What the price did, for the second day running, is the part to hold on to.** Thursday, on a headline that coordinates had been agreed, crude rose 2.75%. Friday, on publication of the actual terms, crude fell 0.27%. The market paid up for the idea of a deal and paid nothing for its contents. Read alongside the terms, that is coherent: a route that excludes American and Israeli shipping, charges tolls, requires war reparations and is conditional on the US lifting a blockade is not a reopening of the Strait — it is a proposal to formalise Iranian control of it. Reuters' own market commentary on Friday was headlined *"Difficult to see an Iran-Oman deal on Hormuz implemented."*

12 Monday setup — what Asia opens into

The single most important fact on this page: no Asian market has traded the payroll. Tokyo and Seoul closed at 14:00 and 14:30 GMT+8 Friday, Hong Kong at 16:00, Sydney earlier still. The US July employment report was released at 20:30 GMT+8 — four to six hours after every Asian cash market had shut. Everything that followed it (a record S&P close, a 1.30% Nasdaq rally, a 2.56% SOX rally, gold to a seven-week high, the dollar down 0.33%, the yen up 0.44% and the won up 1.07%) is entirely unpriced in Asian cash equities. Monday is a catch-up open, not a continuation.

MARKET	FRIDAY CLOSE	WHAT IT HAS NOT PRICED
Nikkei 225	65,606.71 −0.12%	Closed six and a half hours before the payroll. Faces a stronger yen (USD/JPY 157.745, low 156.65) against a stronger Wall Street — the two cut in opposite directions for Japanese exporters, and the yen move is the larger of the two
KOSPI	6,258.77 −0.60%	**A sixth consecutive decline, −31.3% from peak per Hedgeye.** Then, after Seoul shut: EWY +1.20%, the won +1.07% and the SOX +2.56%. Korea is handed the best possible handover after the worst possible month
Hang Seng	25,668.03 +0.54%	Closed 4.5 hours early. Hedgeye flagged China as overbought and moving to the top of its range, with a possible new short ETF — a watch-list item, not a position
SSE / Shenzhen	3,940.04 +1.02% / 14,311.01 +1.42%	Both were already strong on Friday, before any of the US move
TWSE	44,225.91 −0.38%	Fell on Friday, then watched the SOX rise 2.56% overnight. The cleanest single read-across on the board
ASX 200	9,263.60 −0.09%	Materials and gold miners have led all week; GDX rose 7.11% on Friday after Sydney closed. The most direct beneficiary of the gold breakout
STI / Sensex	5,698.43 +1.05% / 78,499.17 −0.58%	Singapore strong, India weak, both pre-print
Europe (STOXX 50 / DAX / FTSE)	6,523.86 +0.33% / 26,319.45 +0.69% / 10,901.09 +0.31%	European cash also closed before the print. Hedgeye holds no European positions and covered its Israel short on Friday

The clean handovers, ranked. First, gold: spot at a seven-week high, GDX +7.11%, and Hedgeye flipping the signal to bullish gives Australian and Canadian resource names an unambiguous mark. Second, semiconductors: SOX +2.56% and Nvidia +2.27% after Taipei and Seoul had shut — Taiwan is the most direct expression. Third, the dollar: DXY −0.33% with a new Hedgeye long in the euro supports Asian FX broadly, and USD/KRW at 1,407.45 and USD/CNH at 6.7372 both sit near the strong end of their ranges.

The one to watch is Korea, and the setup is now genuinely two-sided. Six consecutive declines, 31.3% from peak, and Hedgeye short through EWY, DRAM and MINV. Against that: the won had its best day of the week, EWY rallied 1.20% in New York after Seoul closed, and the semiconductor complex Korea trades off rose 2.56%. Either Monday is the sixth-decline-becomes-a-bounce that ends a one-month 22% rout, or the bounce is sold and the short is vindicated a seventh time. Hedgeye is positioned for the second. The won has been arguing for the first for four sessions.

What could still change before Monday. CME futures reopen at 06:00 GMT+8 Monday and are the first tradeable price. Between now and then the only inputs are weekend news flow — principally whether Oman responds to the published Hormuz terms, whether the Houthi–Saudi escalation continues, and any weekend Fed commentary ahead of Wednesday's CPI. Nothing scheduled falls over the weekend.

13 AI watch

The AI trade fractured again and this time the application side won — which is the exact inverse of Thursday. IGV rose 3.29% against SMH's 1.96%. On Thursday software fell 1.87% while semis rose 0.31%, and three billion-dollar software names lost a fifth of their value each on guidance. On Friday Atlassian rose 35.31%, Twilio 24.89%, Doximity 32.62% and Cloudflare 5.57% after touching an all-time high intraday. Two consecutive sessions, opposite verdicts, same complex, both driven by company-specific forward numbers rather than by anything macro. Hedgeye is net long software against net short semiconductors; that leg lost 2.2 points of spread on Thursday and gained 1.33 on Friday.

Bank of America's Atlassian thesis is the cleanest articulation yet of the second-order AI trade. The upgrade argued that Atlassian's workflow and collaboration data could become an increasingly valuable AI asset — not that Atlassian sells AI, but that the proprietary data exhaust of a mature software business is the scarce input. Twilio, Doximity and Cloudflare all rose on variants of the same idea. If this framing holds, the next repricing in software is about who owns training-relevant data, not who ships a copilot.

Nvidia added $121bn and Keith described the trade he cannot put on. NVDA +2.27% to $223.96, capitalisation $5.425 trillion, on 104.7m shares. TRADE and TREND both bullish. The stated preferred expression is *"buy Nvidia and short semis"* — a long in the single name against a short in the index it dominates — and Keith noted he holds neither and faces restrictions on trading it. The actual short in the book is DRAM, and Hedgeye published a Chart of the Day on Friday titled *"From DRAM Long to DRAM Short: The Fractal Flip in Real-Time."*

Palantir, UiPath and C3.ai rose together, which is worth noticing rather than celebrating. PLTR +10.32%, PATH +7.50%, AI +3.65%. Palantir had a specific catalyst — a Bank of America upbeat view after strong earnings. The other two did not. A cohort moving together on one member's news is sentiment, not fundamentals, and it is the same mechanism that took three software names down a fifth each on Thursday, running in reverse.

CoreWeave reports Wednesday 12 August, on the same day as CPI. It is the cleanest remaining read on AI capex durability this earnings season, and it now lands in the same session as the inflation print that will set rate expectations. If the neocloud capex number is strong and CPI is soft, the software rally has room. If capex is strong and CPI is hot, the two halves of this market pull in opposite directions on the same afternoon.

14 Beyond the markets

The American economy shed 23,000 jobs and the S&P 500 closed at the highest level in its history on the same day. Both statements are true, neither is a mistake, and the reconciliation is that the index is a discount mechanism for policy and the payroll is a description of the past. It is still a sentence worth sitting with before quoting either half of it.

The unemployment rate improved because a quarter of a million people gave up. 264,000 left the labour force; participation fell to 61.4%. Outside the pandemic, Americans have not participated in their own labour market at this rate since the middle of 1976 — before the entry of most of the women who would define the following four decades of labour supply. The number will be reported as 4.1%, down from 4.2%, and it will be reported as good news.

A project-management software company was worth $9.9bn more on Friday evening than Friday morning because an analyst said its data might be useful to a machine. Atlassian +35.31%, on results plus a price target that went from $105 to $175 in a single revision. Nothing about the business changed between Thursday and Friday.

Doximity closed up 32.62% and everyone will report that number. At its intraday high of $39.99 it was up roughly 93%. It gave back nearly two-thirds of its own gain in a single session and still finished as the second-best performer in the market. The close is the fact; the fade is the information.

Iran's proposal to reopen the world's most important oil chokepoint would ban American ships from it, fine violators a fifth of their cargo, and require war reparations before certain nations may sail. The Gulf states have already called that a gross violation of international law. Crude fell 0.27%. Sometimes the market reads the document.

Copper made a 52-week high and closed down 1.85%, at the low of its day. Yesterday's brief named the copper high as one of five things to watch. It was the only one of the five that resolved cleanly, and it resolved against the direction of the signal — inside a band Hedgeye still rates bullish, on a metal Keith said two days earlier he had been wrong to sell.

15 Appendix — stock cards

Names in focus plus the levels that matter — last · day · capitalisation · band or next key date · one-line read. Every price is a Friday 7 August cash close or futures settle. There are no live marks in this edition. No charts.

The pair Hedgeye published before the open

ATLASSIAN (TEAM)

$149.07 ▲ +35.31%

Cap $37.8bn · BofA to Buy, PT $105→$175 · 52wk 56.01–184.00

Named long in Friday's Early Look before the open. Added ~$9.9bn on an argument that its workflow data is an AI asset.

THE TRADE DESK (TTD)

$13.80 ▼ −21.90%

Cap $6.5bn · 132.9m shares · session low 12.83 = 52wk low

Named short in the same paragraph. 2.7× Thursday's capitulation volume, on a company a tenth the size of the buyer.

TWILIO (TWLO)

$241.28 ▲ +24.89%

Cap $36.6bn · session high 254.50 = 52wk high

Closed at the top of its 52-week range on robust results. The software complex's second-largest move.

DOXIMITY (DOCS)

$27.40 ▲ +32.62%

Cap $4.9bn · day range 27.16–39.99 · 52wk 17.15–76.51

Was up ~93% intraday and gave back nearly two-thirds. Beat on Q1 sales, raised FY27 guidance. The fade is the story.

Gold's phase transition, and the metal that failed

GOLD (DEC)

$4,401.30 ▲ +2.37%

Settle · spot ~$4,340.70, seven-week high · band $4,103–4,331 BULLISH

Signal flipped from NEUTRAL. Eight higher lows, TRADE breakout ~4,101, then TREND. All precious-metals shorts covered.

SILVER (SEP)

$63.80 ▲ +3.56%

Settle · ranged 61.42–65.48 · band $57–66 NEUTRAL

Band widened at both ends and the signal moved up from BEARISH. Three sessions of contradiction now resolved.

COPPER (SEP)

$6.585 ▼ −1.85%

52-week high 6.77 printed, then reversed · band 6.40–6.85 BULLISH

Closed at the bottom of its range and gave back more than Thursday's gain. Keith called exiting it a mistake two days ago.

WTI CRUDE (SEP)

$77.08 ▼ −0.27%

Settle · band $72.63–82.60 BEARISH · no Hedgeye position

Rose 2.75% on the Hormuz headline Thursday; fell on the published terms Friday. The market read the document.

The Mag7 edges, and the one that keeps not working

NVIDIA (NVDA)

MICROSOFT (MSFT)

$223.96 ▲ +2.27%

Cap $5.425T · +$121bn · 104.7m shares · no published Risk Range

TRADE and TREND bullish. Keith's preferred expression is "buy Nvidia and short semis" — he holds neither and is short DRAM.

$499.99 ▲ +0.03%

Cap $3.713T · high 505.18 · Signal Strength long

Missed the $500 close by one cent, having missed it by fourteen on Thursday. Traded above 505 and gave all of it back.

ALPHABET (GOOGL)

$354.30 ▼ −0.96%

Cap $4.333T · −$285bn over three sessions · Hedgeye SHORT

The only Mag7 name down, for a third day. The Jeff Dean repricing is now a week old and still has not found a floor.

TESLA (TSLA)

$328.58 ▲ +2.83%

Cap $1.298T · held $300 for an eighth session · 34% below 52wk high

Best of the Mag7. The year-to-date laggard having its best session in weeks, on no company-specific news.

The positions that turned, and the one that was removed

ENERGY SELECT (XLE)

$57.50 ▼ −1.13%

WORST SECTOR · Hedgeye REMOVED from long at 56.24–60.52

Bought into Wednesday's close, reiterated on air at 22:22 GMT+8, removed from the book at 22:27. A 48-hour round trip, published.

SOUTH KOREA (EWY)

$166.09 ▲ +1.20%

Hedgeye SHORT · Kospi −0.60% to 6,258.77, sixth straight fall

Seoul fell before the payroll; EWY rallied after it. The won gained 1.07%. The short is intact and the setup is now two-sided.

PALANTIR (PLTR)

$172.01 ▲ +10.32%

Cap $413.4bn · 76.2m shares · BofA upbeat after strong earnings

Dragged UiPath (+7.50%) and C3.ai (+3.65%) with it on no news of their own. Cohort moves are sentiment, not fundamentals.

EQUAL WEIGHT S&P (RSP)

$220.09 ▲ +0.69%

RECORD CLOSE · 52wk high 220.37 · vs SPY +0.61%

Hedgeye's core US equity expression, and the broadening thesis's best evidence of the week. Keith is not long the cap-weighted index.

Sources

Market data. Yahoo Finance multi-symbol quote comparison pages, captured 07:10–07:35 GMT+8 Saturday 8 August, after all markets had settled, in four batches: US cash indices and Treasury yield indices (^GSPC, ^IXIC, ^DJI, ^RUT, ^SOX, ^VIX, ^TNX, ^TYX, ^FVX, ^IRX); futures, commodities, FX and crypto (ES=F, NQ=F, YM=F, RTY=F, CL=F, BZ=F, NG=F, RB=F, GC=F, SI=F, HG=F, DX-Y.NYB, JPY=X, KRW=X, TWD=X, CNY=X, EURUSD=X, BTC-USD, ETH-USD); the eleven SPDR sectors and reference ETFs (RSP, SPY, HYG, LQD, GLD, SLV, EWY, SMH, IGV, TLT); and single names (MSFT, AAPL, META, AMZN, NVDA, TSLA, GOOGL, PLTR, TEAM, DOCS, TWLO, TTD, SEZL, LASR, DAVE, POST, SPCX, INTC, OKLO, NFLX). Yahoo Finance historical price series for ^GSPC and ^DJI used to verify the record close and to correct a stale 52-week field. Asian and European index closes from Yahoo Finance's trending-indices panel. Reuters/LSEG markets dashboard for the spot gold mark and a cross-check on the 10-year.

Hedgeye — FULL logged-in edition, feed read 07:20–07:35 GMT+8 Saturday. Early Look "#Quad3 Longs: Gold, Healthcare, etc." (Keith McCullough, 7 Aug 07:47 EDT) for all sixteen Risk Ranges, the gold phase-transition mechanism, the Quad 3 allocation list and the TEAM/TTD pair. The Macro Show Summary Notes & Replay (7 Aug 10:22 EDT, Keith McCullough with Matt Cooper) for the covering of precious-metals shorts, the steepener and IVOL, the Nvidia framing, the Bitcoin short removal, the Philippines addition, the Russell "next man up" comment, the China watch-list item and the book positioning. ETF Pro Plus "UPDATE: 6 New ETF Pro Changes" (7 Aug 10:27 EDT) for FXE, LSEQ, URA, EIS, LIT and the XLE removal, with bands. Signal Strength Stocks — 67 names (7 Aug 11:36 EDT) for the additions and removals. MOMO Tracker (7 Aug 07:47 EDT) — headline only; the body is image-based, see Data-confidence.

Macro and policy. CNBC's 7 August report on the July employment situation for payrolls, revisions, the unemployment and participation rates, household employment, the employment-to-population ratio, U-6, average hourly earnings, the sector breakdown, the CME FedWatch hike odds and the quotations from Nicole Bachaud (ZipRecruiter), Chris Zaccarelli (Northlight) and Bill Adams (Fifth Third). BLS for the Employment Situation release and the 12 August CPI date, and for the 28 August benchmark-revision and 4 September August-payroll dates. Federal Reserve Board press materials and the 29 July FOMC press-conference record for the 9–3 vote, the Hammack / Kashkari / Logan dissents and Chair Kevin Warsh's 22 May 2026 oath of office. ADP, ISM, JOLTS, claims, Challenger, productivity and unit labour costs are carried forward from the 4–7 August editions of this brief.

Session narrative and corporate news. Reuters markets dashboard and wrap ("S&P closes at record high as soft jobs report eases rate-hike concerns"); Motley Fool's "Stock Market Today, Aug. 7" for the Atlassian, Twilio and Palantir moves and the Bank of America actions; 24/7 Wall St. for the software-surge cohort and the agentic-AI group; Benzinga for the Doximity pre-market figure and guidance detail; Yahoo Finance gainer, loser and most-active screens for the movers table.

Geopolitics. NPR's 7 August *Morning Edition* report from Sameer Hashmi in Dubai for the published terms of the Iran–Oman draft (the US/Israeli vessel ban, the 20%-of-cargo fine, the war-reparations condition, Iranian control of navigation and security, the toll-charge denial and the US-blockade precondition), for Oman's continued silence, for the Gulf states' prior rejection of Iranian control of the Strait, and for the Houthi attack in Najran province. Bloomberg, CNN, Fortune and CBS headlines for corroboration of the deal's shape. Reuters market commentary for "Difficult to see an Iran-Oman deal on Hormuz implemented."

Data-confidence

Cross-checks passed

Every reconciliation this brief runs, passed. Cash index arithmetic ties against yesterday's published closes in all five cases: 7,709.96+47.68=7,757.64; 26,348.35+342.26=26,690.62; 53,885.10+151.83=54,036.93; 3,001.55+32.95=3,034.49; 12,048.69+308.09=12,356.79. All eleven SPDR sector closes reconcile exactly: XLV 164.45→165.68, XLB 52.17→52.86, XLY 118.10→119.86, XLF 57.81→57.60, XLRE 44.81→44.98, XLI 184.76→185.18, XLP 85.11→85.12, XLK 185.33→187.97, XLU 43.38→43.61, XLC 111.18→111.25, XLE 58.16→57.50. All four Treasury yield indices reconcile: 10Y 4.670→4.660, 30Y 5.21→5.21, 5Y 4.389→4.362, 13-week 3.732→3.710. VIX: 15.15−0.25=14.90. All four futures settles reconcile to Thursday's settles as published yesterday: ES 7,734.75→7,777.25; NQ 29,488.25→29,839.50; YM 54,013→54,132; RTY 3,009.10→3,040.00. All seven Mag7 closes reconcile. All five commodity settles reconcile: WTI 77.29→77.08, nat gas 2.640→2.671, gold 4,299.60→4,401.30, silver 61.61→63.80, copper 6.709→6.585. Hedgeye's Signal Strength count reconciles: 65 + 4 added − 2 removed = 67.

Two independent corroborations worth recording. First, yesterday's derived Brent settle is confirmed: the 6 August edition derived $82.49 from the futures quote and flagged it as uncertain against a conflicting source. Friday's BZ=F prints 82.27 with a stated change of −0.22, implying a prior settle of exactly 82.49. The flagged conflict is resolved in favour of the futures chain. Second, Hedgeye's stated 10-year floor and the observed intraday low agree: Keith said the report pushed the 10-year *"almost exactly to the bottom of its Risk Range near 4.59%,"* and ^TNX printed a session low of 4.60 — an independent confirmation of both the band and the tape, from two unrelated sources.

Known conflicts and weak marks

(1) Yahoo's 52-week high for the Dow is wrong, and this brief corrected it. The quote page shows a 52-week high of 54,094.65, which is merely Friday's intraday high. Yahoo's own historical series for the same index shows an intraday high of 54,744.33 and a close of 54,349.12 on 5 August. The 52-week field is stale. The historical series is used, and Friday's close is stated as 312.19 below the record close rather than at a record. **(2) The Trade Desk's 52-week high is inconsistent between sessions.** Yesterday's edition carried $91.45 from this provider; Friday's page shows $57.00. Both cannot be right, so no percentage-from-high figure is stated for TTD in this brief. **(3) The Russell 2000 record differs by source.** Yesterday's edition carried 3,048.85; Yahoo's 52-week high now reads 3,046.59. The 1.4-point gap changes no conclusion, but the record level is treated as approximate.

(4) The 10-year yield change differs by provider. ^TNX, a CBOE index, closed 4.660%, −1.0bp. LSEG's cash 10-year on the Reuters dashboard showed 4.647%, −2.3bp. This brief uses ^TNX throughout for consistency with the reconciliation chain back to yesterday's edition. The directional claim — a large intraday rally almost entirely surrendered by the close — holds on both marks; the exact basis-point figure does not. **(5) Brent's Friday direction is genuinely disputed across three marks.** Yahoo's BZ=F settled 82.27, −0.27%. Reuters headlined *"Brent climbs $1 on uncertainty over end to Iran war."* Reuters' own live table showed 82.38, −1.40%. Three sources, two directions, and a likely contract or timestamp mismatch between them. The futures chain is internally consistent and reconciles to Thursday, so it is preferred, but Brent's Friday move should be treated as approximately flat with the sign unconfirmed.

(6) Gold is compared across two instruments and the distinction matters this morning. December futures settled $4,401.30. Reuters' spot mark was $4,340.70. Hedgeye's band of $4,103–4,331 is spot. On spot, gold closed roughly $9.70 above the ceiling; on futures it is about $70 above. The claim that gold has broken above its Hedgeye ceiling holds on both marks — but the magnitude, and therefore how overbought it is within the framework, does not. **(7) The Mag7 simple average (+0.81%) is this brief's arithmetic,** not a published figure, and is not comparable to Hedgeye's MOMO Tracker reading of +0.2%, which was published before Friday's session and refers to Thursday. **(8) Weekly percentage changes are computed from closes** (S&P 7,489.72 on 31 July to 7,757.64, +3.58%; Dow 52,485.03 to 54,036.93, +2.96%). "Strongest week since April" is a third-party characterisation and was not independently verified. **(9) Atlassian's ~$9.9bn of added value is derived** from the reported capitalisation and the percentage move, not from a share count.

(10) Two figures in an earlier draft of this brief were wrong and were corrected before publication, and both are recorded here. A first pass carried Airbnb at +8.8%, taken from an aggregated news summary. An independent verification pass against the primary quote found the actual close was **$178.07, +17.43%** — a material error of nearly nine percentage points on one of the day's largest moves, and the corrected figure reconciles exactly against Thursday's published close of 151.64. The same pass found that Cloudflare's record was set intraday at $324.73, not at the $300.27 close, and the text was rewritten accordingly. Both errors originated in secondary summaries rather than in the quote data; the standing lesson, applied throughout this edition, is that percentage moves quoted in news copy are checked against the reconciliation chain before they are printed. **(11) The October hike probability of 58.3% is CNBC's report of CME FedWatch** immediately after the release. A separate source put the October figure nearer 55%, with a different prediction market at 56–58%. The September figure of 44% is corroborated across sources. Treat the October number as approximately 55–58% rather than a precise mark; the argument in section 10 does not depend on which is right.

Known gaps

Hedgeye content not fully readable. The MOMO Tracker body is image-based for a second consecutive session and no text was extractable; only its headline is carried, and that headline refers to Thursday's close. Signal Strength Stocks returned "CONTENT MISSING" for its body — only the 67-name count and the added and removed tickers were readable, so the long/short split within the 67 is unknown this morning (yesterday's was 63 long / 52 short, which did not sum to its own stated count either). The Macro Week Summary Notes (Saturday 05:46 GMT+8), the Capital Allocation Pro Daily Dashboard, Crypto Quant, "What HAM Portfolio Managers Are Watching This Week" and the "From DRAM Long to DRAM Short" Chart of the Day were visible on the feed but not read. The Macro Show summary carries Hedgeye's own disclaimer that it has been "enhanced by AI and may contain errors"; the parenthetical timestamps in that summary are Hedgeye's video markers, not independent confirmations, and the underlying video was not viewed.

Signals that did not fire, which is information. Netflix was not removed from the Signal Strength list. Thursday's Macro Show flagged that analyst confirmation could remove NFLX from the short list, *"which would also constitute a signal to go long."* Friday's removals were ILMN and RHP. NFLX closed 74.14, +0.61%. The signal has not changed and its absence is not evidence that it will. No single-name Risk Range was published Friday, for a second consecutive session. Hedgeye publishes no Risk Ranges for Utilities, Financials, Energy, Communication Services, USD/JPY, Brent, Bitcoin or any Asian index — which is why the largest book change of the day, the XLE removal, carries no band in section 4 beyond the one quoted in the ETF Pro note itself.

Unresolved and uncarried. The Hormuz blockade start date is disputed: NPR's 7 August report states ships "have not been able to pass freely since the war began in February," while prior editions of this brief carried 8 July as the date the Strait became impassable. These may describe different thresholds — restricted versus impassable — but the discrepancy is unresolved and neither figure is retracted here. Oman has not commented for a fourth consecutive session. Yesterday's wholesale sales miss (−3.0% against +2.2% expected) still has no second source and remains one-source until confirmed. Nasdaq and Russell weekly percentage changes were not computed. Reuters' "Market Talk" items on the jobs report and on Hormuz implementation were headline-only video and were not viewed. No after-hours tape is carried in this edition, because Friday's after-hours session closed before this brief was written and weekend quotes are unreliable.

Timing

This is the Saturday weekend edition, generated 07:00–08:00 GMT+8 Saturday 8 August 2026. It is the one edition of the week whose numbers cannot go stale in the reading: every market referenced is closed and every level is final. US cash equities settled at 04:00 GMT+8 Saturday and CME futures at 05:00; nothing reopens before CME's Sunday restart at **06:00 GMT+8 Monday**. There are consequently no LIVE marks anywhere in this brief and none are labelled as such — a deliberate departure from the weekday template, where roughly a third of section 1 carries live prices. Section 12 is written as a Monday-open preview rather than an overnight tape, because there is no overnight tape to write. The sixteen Risk Ranges in section 4 are Friday's and stand until Monday's Early Look publishes around 19:25–19:55 GMT+8 Monday. **This is the FULL Hedgeye edition** — the logged-in browser was reachable and every product visible on this subscription's feed was surfaced. Verify prices before acting on Monday.

END OF BRIEF · DAILY NEED TO KNOW · SATURDAY 8 AUGUST 2026 · FULL HEDGEYE EDITION

Next edition: Monday 10 August, covering the Monday Asian session and Friday's US close. Hedgeye's Monday Early Look publishes ~19:25–19:55 GMT+8 and supersedes every risk range printed here.